ACME INDUSTRIES PLC
QUARTERLY BUSINESS REPORT — Q2 FY2026
Prepared by the Office of the CFO · August 2026

1. EXECUTIVE SUMMARY

Revenue reached $18.4M in Q2 FY2026, an increase of 12.3% year over year. Gross margin expanded to 61.7% on favorable input costs and the continued mix shift toward subscription revenue, which now represents 43% of total bookings. Operating expenses grew more slowly than revenue for the fourth consecutive quarter, producing positive operating leverage of 310 basis points.

Free cash flow was $3.1M, driven by disciplined working capital management; days sales outstanding fell from 54 to 47. The board-approved share repurchase program returned $1.5M to shareholders during the quarter.

2. SEGMENT PERFORMANCE

2.1 Platform Division

The Platform Division generated $11.2M of revenue, up 15% YoY. Annual recurring revenue ended the quarter at $44.8M with net revenue retention of 117%. Key wins included three enterprise seven-figure renewals and the launch of the usage-based pricing tier in May.

2.2 Professional Services

Services revenue was $5.1M, roughly flat YoY as planned. Utilization averaged 78% against a target of 75%. Backlog stands at $6.3M, covering 89% of next quarter's services plan.

2.3 Hardware

Hardware revenue declined 9% YoY to $2.1M, consistent with the strategic de-emphasis announced last year. Inventory write-downs of $180K were taken against discontinued SKUs.

3. KEY METRICS

- Revenue: $18.4M (+12.3% YoY)
- Gross margin: 61.7% (+240 bps YoY)
- Operating margin: 14.2%
- Free cash flow: $3.1M
- Net revenue retention: 117%
- Customers > $100K ARR: 87 (+14 QoQ)
- Employee count: 412 (+3% QoQ)

4. RISK FACTORS

Management continues to monitor several risks:

a) FX exposure in EMEA, where 18% of revenue is denominated in euros and sterling; hedging coverage is currently at 60% of forecast exposure.

b) Concentration risk: the top ten customers represent 31% of ARR, down from 34% a year ago but still above our 25% comfort threshold.

c) Talent competition for senior platform engineers in the Austin market, where voluntary attrition rose to 14% annualized.

d) Pending EU AI Act compliance workstream, expected to consume roughly 800 engineering hours across H2 FY2026.

5. OUTLOOK

For Q3 FY2026 we guide to revenue of $19.1M to $19.6M and non-GAAP operating margin of 14.5% to 15%. Full-year guidance is raised modestly: revenue of $74.5M to $75.5M and free cash flow conversion above 40% of adjusted net income. Assumptions include no material change to FX rates, continued subscription mix improvement of roughly one point per quarter, and the on-time delivery of the Agentic Gateway v2 release scheduled for October.

Appendix A — Reconciliation

Non-GAAP adjustments this quarter comprised stock-based compensation of $2.2M, amortization of acquired intangibles of $0.4M, and restructuring charges of $0.3M related to the hardware wind-down. A full reconciliation to GAAP measures appears in the condensed consolidated statements filed with this report.